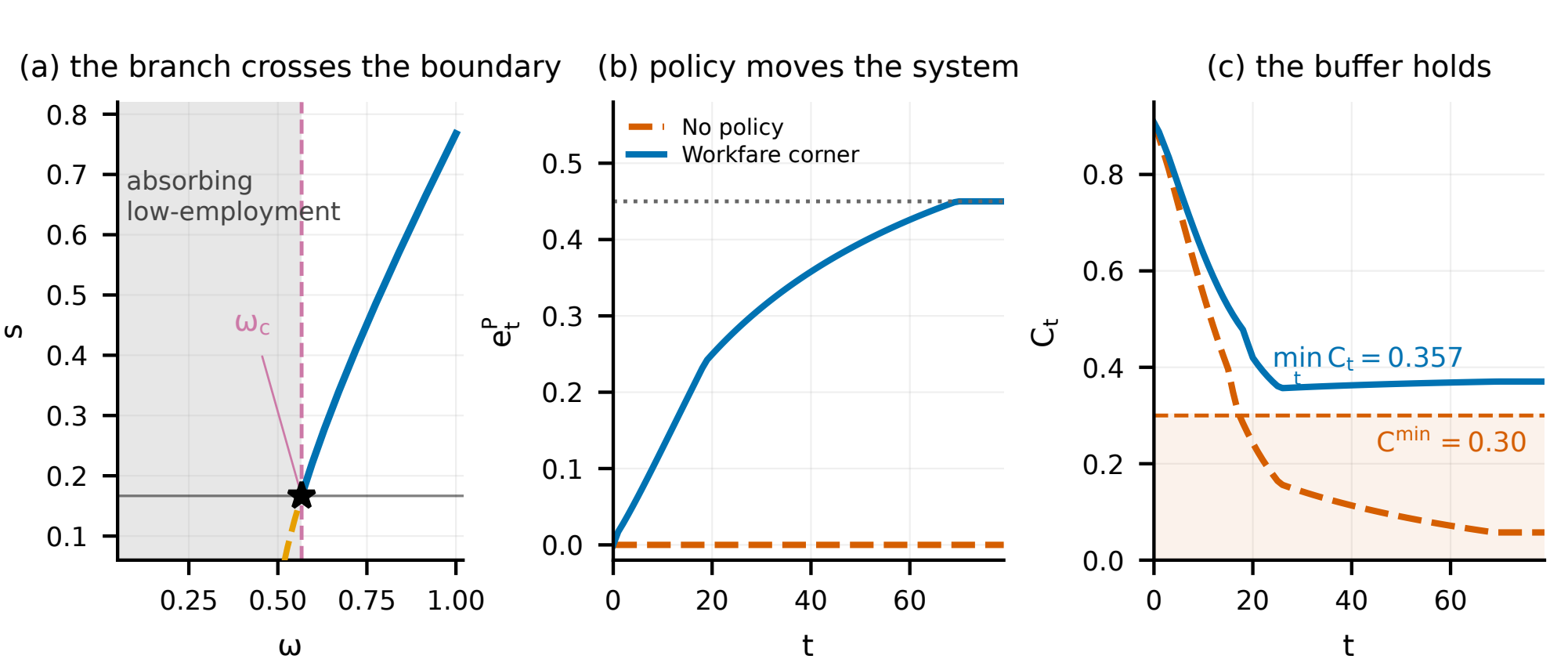

(a) the branch crosses the boundary
absorbing
low-employment
ω_c
s
ω
(b) policy moves the system
No policy
Workfare corner
e_t^P
t
(c) the buffer holds
C_t
$\min_t C_t = 0.357$
$C^{min} = 0.30$
t